Summing up

If we were in Sweden, we would do normal public economics: We would identify market failure and address it. If we live in a country with low state capacity, how does this change our thinking?

In the international experience, waging war was an important pathway to developing state capacity. That pathway is not open to India, given the nuclear deterrent.

When there is low state capacity, there is a bigger chance of state power being used in wrong ways. Therefore, it is wise to use coercion mildly. When state capacity is low, tax rates should be low, expenditures on public programmes should be low, the investigative powers of the agencies should be low and the punishments that are encoded into laws should be low.

When state capacity is low, we should design simple interventions that are easy to implement. A single-rate GST makes lower demands of state capacity, in the annual process of making the budget and in the everyday process of tax administration.

The weak state has highly limited resources of money, of the time of capable staff, and the management time of the leadership. Rather than spread this widely, it makes more sense, under conditions of low state capacity, to attempt doing fewer things.

How to choose these fewer things? One useful test is whether there is a market failure. Many things should not be done, as they do not address market failure. The core of any state is four elements: the criminal justice system, the judiciary, tax collection and financial regulation. Without these, there can be no economy. Hence, these four areas should be the limited areas of focus. We should learn how to run a state by building capability in these four areas.